Development Developer Pro Forma

Test Project · Test Address

Deal Summary, Project Costs & Financing · Generated 2026-07-21 16:09

CREDevSim.com
CRE Development Simulation

SCENARIO **Development**	TOTAL PROJECT COST **$10.000M**	TOTAL FUNDING REQUIRED **$10.155M**	UNITS **50**
CONSTRUCTION PERIOD **24 mo**	HOLD PERIOD **7.0 yrs (exit Q1 2032)**	STABILIZED NOI (YR 1) **$651K/yr**	EXIT CAP (TARGET) **5.50%**
DSCR (YEAR 1) **1.25x**			

Sources & Uses of Funds

Uses	Amount	% of Cost	$/Unit
Land	$1.500M	15.0%	$30K
Hard Costs	$6.500M	65.0%	$130K
Soft Costs (excl. Dev Fee)	$1.500M	15.0%	$30K
Contingency	$500K	5.0%	$10K
Total Project Cost	**$10.000M**	**100.0%**	**$200K**
Rate Cap Cost	$65K	—	$1K
Construction Loan Origination Fee	$65K	—	$1K
Mezzanine Loan Origination Fee	$15K	—	$300
Preferred Equity Placement Fee	$10K	—	$200
Total Financing Costs (Day-0)	**$155K**	**—**	**$3K**
TOTAL USES OF FUNDS (Total Project Cost + Financing Costs)	**$10.155M**	**—**	**$203K**

Total Uses = Total Project Cost + Day-0 Financing Costs (Rate Cap + Construction Loan Fee), computed from exact unrounded figures. Bridge/Perm Loan Fee and Interest Reserve are shown in Debt Structure & Construction Financing. Individual line items above are rounded to the nearest $1,000 for display.

Sources	Amount	% of Cost	$/Unit
Senior Loan	$6.500M	64.0%	$130K
Mezzanine Loan	$1.500M	14.8%	$30K
Preferred Equity	$1.000M	9.8%	$20K
LP Common Equity	$3.445M	33.9%	$69K
GP Common Equity	$3K	0.0%	$69
Less: Refi Proceeds Already Counted Above	($2.293M)	(22.6%)	($46K)
Total Sources	**$10.155M**	**100.0%**	**$203K**

Sources figures rounded to the nearest $1,000 — manually summing the rounded line items may differ from Total Sources by at most a few thousand dollars; Total Sources always reconciles exactly against TOTAL USES OF FUNDS above.

LP/GP Equity above is shown gross of the perm loan's return of capital: the permanent loan refinances out more than the construction loan balance, and that excess is returned to equity at refi. The "Less: Refi Proceeds Already Counted Above" line nets this back out so Total Sources reconciles to Total Uses — it is not an additional cost, only a correction for double-counting.

Development Budget Detail

LTC Sizing Basis	Total Cost incl. Land
Land Funding Structure	Bank-Countable (counts toward LTC)

Debt Structure & Construction Financing

Construction Loan	$6.50M @ 7.50% (65% LTC)
Construction Period	24 months
Recourse	⚠ Recourse — burns off At Certificate of Occupancy
Permanent Loan (at Refinance)	**$6.89M @ 5.75% (54% LTV at Exit / 65% Underwriting LTV)**
Loan Term	10 yrs
Interest-Only Period	24 months
Amortization	25 yrs
↳ Loan by LTV	$7.688M
↳ Loan by Debt Yield (6.00% min)	$10.842M
↳ Loan by DSCR (1.25x min)	$6.893M
Binding Constraint	**DSCR**
DSCR sizing ($6.893M) is more restrictive than LTV ($7.688M) at the current stabilized yield — DSCR caps the loan $794K below what LTV would allow.	
↳ Less: Retires Construction Loan Balance	($7.14M)
↳ Net Refinance Proceeds (after fees)	$0
DSCR (P&I basis)	**1.25x**
Annual Debt Service	$396K (I/O, first 24 mo) → $520K (P&I thereafter)
DSCR at Exit (escalated NOI)	1.35x
Mezzanine Loan	**$1.50M @ 12.00% (current pay) — Total LTC 80.0%**
	Sized to the Total LTC ceiling above (Development/Major Renovation/Distressed scenarios) — not a directly-entered dollar amount.
Mezz Construction Interest (capitalized)	$99K — after-senior draw timing
Mezz Repaid at Refinance	$0 — from perm loan proceeds, after senior claim
⚠ Mezz Take-Out Capital Call (LP+GP)	$1.60M — forced pay-off; a fresh equity call, not refi proceeds

Preferred Equity (Structured Capital)	**$1.00M @ 9.00% coupon (current pay)**

The Permanent Loan is sized against stabilized exit value (LTV) and/or in-place NOI (Debt Yield, DSCR) — a different basis than the Construction Loan's at-cost LTC sizing above. Its proceeds retire the Construction Loan via refinance; the two loans are sequential, not additive, and outstanding debt never exceeds the larger of the two at any point in time.

Construction Timeline — Monthly Draw & Funding Detail

Milestones

- Month 1 — Loan Origination Fee Paid
- Month 24 — Lease-Up Begins
- Month 30 — Refinance (Perm Loan Fee Paid) — user-defined, after Month 24 construction completion

Month	Bank Loan Drawn	Mezz Drawn	Pref Equity	LP/GP Capital Drawn	Capitalized Interest	Total Cost Funded
1	$23K	$0	$1.00M	$681K	$6K	$1.71M
2	$59K	$0	$1.00M	$684K	$13K	$1.76M
3	$114K	$0	$1.00M	$687K	$19K	$1.82M
4	$197K	$0	$1.00M	$692K	$26K	$1.91M
5	$322K	$0	$1.00M	$699K	$34K	$2.06M
6	$508K	$0	$1.00M	$710K	$42K	$2.26M
7	$778K	$0	$1.00M	$726K	$52K	$2.56M
8	$1.16M	$0	$1.00M	$749K	$64K	$2.97M
9	$1.68M	$0	$1.00M	$780K	$78K	$3.53M
10	$2.34M	$0	$1.00M	$819K	$95K	$4.25M
11	$3.13M	$0	$1.00M	$866K	$116K	$5.11M
12	$4.00M	$0	$1.00M	$918K	$142K	$6.06M
13	$4.87M	$0	$1.00M	$969K	$172K	$7.01M
14	$5.66M	$0	$1.00M	$1.02M	$208K	$7.88M
15	$6.32M	$0	$1.00M	$1.06M	$247K	$8.63M
16	$6.50M	$341K	$1.00M	$1.09M	$289K	$9.22M
17	$6.50M	$722K	$1.00M	$1.11M	$331K	$9.66M
18	$6.50M	$992K	$1.00M	$1.12M	$374K	$9.99M
19	$6.50M	$1.18M	$1.00M	$1.14M	$417K	$10.23M
20	$6.50M	$1.30M	$1.00M	$1.14M	$460K	$10.41M
21	$6.50M	$1.39M	$1.00M	$1.15M	$503K	$10.54M
22	$6.50M	$1.44M	$1.00M	$1.15M	$547K	$10.64M
23	$6.50M	$1.48M	$1.00M	$1.15M	$591K	$10.72M
24	$6.50M	$1.50M	$1.00M	$1.16M	$635K	$10.79M

Total Cost Funded = Bank Loan Drawn + LP/GP Capital Drawn + Capitalized Interest (cumulative). Bank Loan Drawn and LP/GP Capital Drawn each plateau once their committed facility is fully deployed per the draw schedule — Capitalized Interest is what keeps Total Cost Funded climbing afterward, since interest continues to accrue (and is funded from the Interest Reserve / capitalized into the loan balance) for the remainder of construction.

Development Developer Pro Forma

Test Project · Test Address

Stabilized Operations & Exit · Generated 2026-07-21 16:09

Unit Mix & Revenue Assumptions

Unit Type	Count	Avg SF	Avg Rent/Mo	Annual Revenue
1BR/1BA	25	700 SF	$1,900	$570,000
2BR/2BA	25	1000 SF	$2,250	$675,000
Total	**50**	**—**	**—**	**$1,245,000**

Gross Potential Revenue	**$1.25M/yr**
Avg Asking Rent / Unit / Mo	$2K
Vacancy Loss	8.0% of GPR
Credit Loss	2.0% of GPR
Operating Expense Ratio	41.9% of EGI
Cost / Unit	$200K
NOI / Unit / Yr	$13K
Implied Value / Unit (at exit)	$256K

Operating Pro Forma — Year 1 Stabilized

Gross Potential Revenue (GPR)	$1.25M
Less: Vacancy Loss (8.0%)	($100K)
Less: Credit Loss (2.0%)	($25K)
Effective Gross Income (EGI)	**$1.12M**
Less: Operating Expenses	($470K)
Net Operating Income (NOI)	**$651K**

Note: All operating figures represent Year 1 of Stabilized Operations (Post-Lease-up). Models are static projections for initial feasibility analysis. See Appendix for lease-up ramp, capex reserve, and TI/LC reserve treatment notes.

Exit / Disposition Assumptions

Hold Period	7.0 yrs
Stabilized NOI (Year-1, flat — ops basis)	$651K
Exit NOI (escalated — basis for exit pricing)	$704K
Exit Cap Rate (Target)	5.50%
Gross Sale Price	**$12.80M**
Less: Disposition Cost (1.00%)	($128K)
Net Sale Price	**$12.67M**

Sale Price derived from Escalated NOI of $704K / 5.50% Cap Rate = $12.80M. (Year-1 entry NOI was $651K; ops cash flow — distributions, DSCR, debt coverage — grows from there at the same rate every year starting Year 2, per the Operating Timeline. Exit NOI above is a separate forward-pricing figure, not a repeat of any single ops-year's NOI.)

Development Developer Pro Forma

Test Project · Test Address

Annual Operating Proforma & Cash Flow Timeline · Generated 2026-07-21 16:09

CREDevSim.com
CRE Development Simulation

Annual Operating Proforma

Line Item	Year 1	Year 2	Year 3	Year 4	Yr 5 (Exit)
Gross Potential Revenue	$830K	$1.27M	$1.30M	$1.32M	$1.35M
Less: Vacancy Loss	($66K)	($102K)	($104K)	($106K)	($108K)
Less: Credit / Collection Loss	($17K)	($25K)	($26K)	($26K)	($27K)
Effective Gross Income	$747K	$1.14M	$1.17M	$1.19M	$1.21M
Less: Operating Expenses	($313K)	($479K)	($489K)	($499K)	($509K)
Net Operating Income	**$434K**	**$664K**	**$677K**	**$690K**	**$704K**
Debt Service (I/O Yrs 1–2)	($396K)	($396K)	($520K)	($520K)	($520K)
Preferred Equity Coupon — Structured Capital (paid)	($37K)	($108K)	($108K)	($108K)	($108K)
Unpaid Mezz/Pref → accrues (PIK)	$70K	—	—	—	—
Replacement Reserve	($100K)	($100K)	($100K)	($100K)	($100K)
Distributable Cash Flow (to common equity)	**—**	**$59K**	**—**	**—**	**—**

Values in $; negatives shown as (n). Mezz/pref rows show cash PAID (coverage-capped); unpaid amounts accrue to the tranche balance (PIK), repaid at exit ahead of common equity. Year 1 reflects lease-up ramp (actual); Year 2+ based on stabilized NOI. NOI escalated 2.0%/yr. DS transitions I/O → P+I as shown.

Operating Timeline — Annual Cash Flow Detail

Year 1 below begins the month construction completes (Month 25). It does not repeat the 2.0-year construction period already detailed in the Construction Timeline on Page 1 — Construction (2.0 yrs) + Operating (5 yrs shown here) = 7.0-year total hold.

***NOI Growth:** The NOI column below GROWS 2.00%/yr starting Year 2 of operations (Year 1 = stabilized entry NOI; Year N = Year-1 NOI × (1+2.00%)^(N−1)) — these are the actual annual cash flows that fund distributions, DSCR, and debt coverage below. The sale price at exit uses a SEPARATE forward-pricing figure — Year-5 NOI of $704K — built from the same growth rate over the full operating hold, so it will not exactly equal the final year's NOI shown in this table (a standard forward-cap convention: the buyer prices off their first year of ownership, one year past this table's last row).*

Year	Occupancy	GPR	Vacancy+CL	EGI	OpEx	NOI	Debt Service (P&I)	↳ of which Principal	Mezz DS	Pref Cpn	Repl.Rsv/TI-LC	Distributable	LP Dist.	GP Dist.	Bank Balance	Events
1	61.3%	$830K	$83K	$747K	$313K	$434K	$198K	$0	$96K	$108K	$25K	$8K	$0	$8K	$6.89M	Refinance Completed — Month 30 (user-defined) — Perm Loan Fee Paid I/O → P&I Transition (mo 7)
2	92.0%	$1.27M	$127K	$1.14M	$479K	$664K	$396K	$0	$0	$108K	$100K	$59K	$0	$59K	$6.89M	I/O Period
3	92.0%	$1.30M	$130K	$1.17M	$489K	$677K	$458K	$63K	$0	$108K	$100K	$36K	$0	$36K	$6.83M	I/O → P&I Transition (mo 7)
4	92.0%	$1.32M	$132K	$1.19M	$499K	$690K	$520K	$131K	$0	$108K	$100K	$0	$0	$0	$6.70M	—
5	92.0%	$1.35M	$135K	$1.21M	$509K	$704K	$520K	$139K	$0	$108K	$100K	$0	$0	$0	$6.56M	—

Debt Service (P&I) is already fully netted out of Distributable above — it is the full monthly payment (interest-only during any I/O period, interest + principal once amortizing). "↳ of which Principal" is a memo breakdown showing how much of that payment retires loan principal rather than being a pure interest expense. Bank Balance's year-over-year change equals exactly the Principal column (interest is an expense, not a reduction in the loan balance) — it does NOT equal Distributable + CapEx/TI-LC, which is a separate, already-net figure. If NOI Growth is enabled (see Exit Assumptions), Operating NOI in this table grows at that same rate every year starting Year 2 — Exit NOI shown in Exit Assumptions is a separate forward-pricing figure, not a repeat of any single year's NOI here. In any year where the lease-up ramp reduces NOI below the stabilized rate, GPR / Vacancy+CL / EGI / OpEx are all scaled by the same occupancy factor, so every row reconciles: EGI − OpEx = NOI in every year shown. For a partial year, all figures are prorated to the months in that year. "CapEx partially deferred" in the Events column means NOI − DS < CapEx reserve target for that year; the shortfall is skipped rather than triggering a capital call — see Appendix for details.

Development Developer Pro Forma

Test Project · Test Address

Pro Forma Methodology & Audit Trail · Generated 2026-07-21 16:09

CREDevSim.com
CRE Development Simulation

> All values in this report are derived from the formulas below. The model applies institutional-grade CRE waterfall mechanics: senior debt priority → management fee → return of capital (pari passu) → preferred return → GP catchup → promote split. IRR is computed via Newton-Raphson iteration on monthly LP cash flows. No shortcuts, approximations, or hard-coded returns are used. Investors and auditors may reproduce any figure by applying these formulas to the inputs shown on pages 1–2.

SOURCES & USES

Total Project Cost	`Land + Hard + Soft + Dev Fee + Contingency`	*The itemized project-cost subtotal shown on Page 1*
Total Uses of Funds	`Total Project Cost + Rate Cap + Construction Loan Fee`	*Day-0 equity-funded capital requirement. Bridge/Perm Loan Fee (refi proceeds) and Interest Reserve (loan-capitalized) are shown in Debt Structure, not here.*
Bank Loan	`LTC Basis × Bank LTC%`	*LTC Basis per the selected cost-breakdown method*
LP / GP Equity	`(Total Uses of Funds − Bank Loan) split by GP%, plus any tie-out shortfall folded in pro-rata`	*Sized to close the full Day-0 gap after debt — never shown as a separate plug*
Tie-Out Check	`Bank Loan + LP Equity + GP Equity = Total Uses of Funds`	*Sources & Uses are force-balanced on Page 1; any Sources surplus (e.g. excess refinance proceeds) prints as an explicit line, never a silent variance*

OPERATING PRO FORMA

Effective Gross Income (EGI)	`GPR × (1 − Vacancy% − Credit Loss%)`	*Only computed when NOI Build-Up (Pro) is enabled*
Net Operating Income (NOI)	`EGI − OpEx + Expense Recovery + Parking + Ancillary − Free Rent`	*Year-1 Stabilized; flat thereafter. Augmentations only apply when Build-Up is ON and inputs are non-zero.*
Expense Ratio	`Operating Expenses ÷ EGI`	*Sanity-check against market comps*
TI Allowance (annual equiv.)	`TI $/SF × Rentable SF ÷ Avg Lease Term`	*Post-NOI, post-DS deduction — not a NOI reduction. Annualized cost of TI paid at each lease signing. Non-deferrable: shortfalls trigger an equity capital call (LP + GP).*
Leasing Commission (annual equiv.)	`LC% × GPR`	*Post-NOI, post-DS deduction. Annual equivalent of broker commission at lease signing. Non-deferrable: shortfalls trigger an equity capital call alongside TI.*
Net Distributable Cash (NDC)	`max(NOI − DS − TI/LC − Repl.Rsv, 0)`	*Floored at $0/month. TI/LC shortfalls always trigger a capital call (LP + GP inject equity). Repl. Reserve shortfall triggers a capital call only when Allow Deferral is OFF; otherwise Repl.Rsv is skipped and accrued as a deferred liability.*

OPERATIONAL NOTES

Lease-Up Ramp	`ON — 9 months, 0% → 92% occupancy`	*Page 2 figures reflect Year-1 STABILIZED performance (post-ramp); monthly cash flow during the ramp itself is lower and modeled separately by the engine*
Stabilized Occupancy vs. Vacancy Loss %	`92% occupancy target / 8.0% vacancy loss`	*Two different conventions, not complements of each other. Stabilized Occupancy is the PHYSICAL lease-up target (% of units signed) the ramp climbs toward. Vacancy Loss % is an ongoing ECONOMIC factor applied to GPR every year at stabilization — frictional turnover, concessions, and collection loss that persist even once the building is fully leased. Do not expect 92% + 8.0% to sum to 100%.*
Replacement Reserve	`$100K/yr — post-DS deduction, not in NOI`	*Annual set-aside for major component renewals (roof, HVAC, elevators). Deducted from distributable cash AFTER debt service — NOT in NOI (NOI is a pre-reserve operating measure). $0 during lease ramp-up. Fannie/Freddie deduct this before computing DSCR (Net DSCR). CMBS and life cos use gross NOI.*

DEBT & LOAN MECHANICS

Construction Loan	`Total Cost × LTC%`	*Loan-to-Cost — applied to selected cost basis*
Constr. Interest	`Distressed/Bridge: Loan × Draw Factor × Rate × Period (yrs). Development/Renovation: monthly balance-accrual simulation (capitalizing)`	*Distressed/Bridge Draw Factor (closed-form input): Lump=1.0, Linear=0.50, S-Curve≈0.55. For Development/Renovation, the Draw Factor shown elsewhere is a derived avg-balance statistic (owed interest ÷ (Loan × Rate × Period)), not a calculation input — draw timing is simulated month-by-month*
Bank Total Claim	`Constr. Loan + Capitalized Interest`	*Retires at refi or exit*
Perm Loan (LTV)	`Exit Price × LTV%`	*Loan-to-Value sizing*
Perm Loan (DY)	`Stabilized NOI ÷ Min Debt Yield%`	*Debt Yield constraint*
Perm Loan (DSCR)	`Stabilized NOI ÷ (DSCR_min × Perm Rate)`	*DSCR constraint*
Binding Constraint	`min(LTV, DY, DSCR) loan size`	*Most restrictive sizing wins (Pro)*
DS — I/O Phase	`Perm Loan × Perm Rate ÷ 12 per month`	*Interest-only; no principal reduction*
DS — P&I Phase	`Loan × [i(1+i)^n ÷ ((1+i)^n−1)]`	*i = monthly rate; n = amort months*
Refi Net Proceeds	`Perm Loan − Const. Claim − Refi Fee − Reserve`	*Positive = surplus for distribution*

UNIT ECONOMICS

Cost / Unit	`Total Project Cost ÷ Units`	
NOI / Unit	`Stabilized NOI ÷ Units`	
Implied Value / Unit	`Exit Price ÷ Units`	*Exit Price = Stabilized NOI ÷ Exit Cap Rate*

EXIT & SALE MECHANICS

Gross Sale Price	`Exit NOI ÷ Exit Cap Rate`	*Exit NOI = flat Yr-1 NOI, or escalated terminal NOI if NOI Growth is enabled — see Model Scope & Stated Assumptions table*
Net Sale Price	`Gross Sale − (Gross × Disposition Cost%)`	*Pool available for waterfall; Gross = Net if cost = 0*
Pref Due at Exit	`LP/GP Equity × Pref Rate × Hold Years − Pref Paid Pre-Exit`	*Remaining pref obligation settled from sale proceeds*
Exit Bank Claim	`Perm Balance at Exit + Accrued Exit Interest`	*P&I amort reduces balance if amort active*
Perm Balance	`Loan × (1+i)^k − Pmt × [(1+i)^k−1] ÷ i`	*k = months elapsed in P&I phase; 0 if I/O only*
GP Clawback	`max(LP_Pref_Due − LP_Pref_Paid, 0)`	*Shortfall triggers; capped at GP promote received*
Equity Profit	`LP Total + GP Total − LP Equity − GP Equity`	*Net profit to equity investors combined*

Note on Exit Valuation: *Exit pricing applies a terminal cap rate to a Trailing T-12 NOI ($651K grown at 2.00%/yr over 4.0 ops years, reaching $704K). This is a separate, forward-looking valuation figure — it is NOT the same as any single operating year's NOI. Actual operating cash flow (distributions, DSCR after Year 1, mezz/pref coverage) grows at this same 2.00%/yr rate every year starting Year 2, as shown in the Pro Forma below; only DSCR-at-stabilization, auto-sizing reserves, and the sensitivity matrix are pinned to the flat Year-1 Stabilized NOI.*

MODEL SCOPE & STATED ASSUMPTIONS

NOI Growth	Ops: Year-1 NOI $651K, growing 2.00%/yr from Year 2 (5.0 ops yrs). Exit (Trailing T-12): $651K × (1+2.00%)^4.0 = $704K → ÷ cap	*Ops cash flow (distributions, DSCR after Year 1, mezz/pref coverage) grows at this same rate every year starting Year 2 — see Annual Pro Forma. Exit NOI is a separate forward-pricing figure, not a repeat of any single ops-year NOI. Only DSCR-at-stabilization, auto-sizing reserves, and the sensitivity matrix use the flat Year-1 NOI.*
Interest Accrual	Compound preferred return (monthly)	*Unpaid pref earns interest-on-interest; accrues monthly; paid as NOI allows*
Equity Timing	LP + GP equity deployed via S-curve over 24-month construction/bridge period	*Capital draw schedule governs LP/GP equity deployment timing*
After-Tax Scope	Asset-level tax only; not investor K-1 or fund-level	*PAL limits, AMT, NIIT, state taxes not modeled*
Draw Factors	Distressed/Bridge: Linear = 0.50, S-Curve ≈ 0.55 (closed-form multiplier)	*Development/Renovation deals instead run a real monthly balance-accrual simulation; the Draw Factor shown for those is a derived reporting statistic (avg balance ÷ loan), not a model input*
1031 Exchange	Perfect deferral: exit tax = $0 if elected	*Structural/timing rules (45-day ID) not enforced*
Mid-Hold Capex	$100K/yr deducted monthly from distributable NOI before waterfall (total: $500K over 5.0 yr ops)	*Reduces LP/GP distributions each operating year. Modeled as consumed capex (not a segregated reserve account).*

Audit Verification. Every figure on pages 1–2 can be independently replicated by applying the formulas above to the deal inputs. The IRR is computed via monthly Newton-Raphson iteration (tolerance 1×10^{-8}) on the full monthly LP cash flow array — no simplified annual approximations. GP Promote Clawback (when enabled) is applied as a closing adjustment before final LP/GP totals are recorded. **Tier Consistency Check: PASSED.** Every enabled promote tier that should have received proceeds, given this deal's cumulative LP distributions, did. No tier was skipped while residual remained available and LP had not yet cleared that tier's hurdle. **Limitations:** This is a pro-forma projection, not an audit. Actual results depend on market conditions, operating performance, lender terms, and tax treatment. All inputs were user-supplied; this tool does not verify their accuracy. Users should engage qualified legal, accounting, and financial advisors before presenting projections to investors.